Harrison's first year of working with her new client had gone smoothly. It took some convincing, however, for Daniel to follow Harrison's advice. Like many entrepreneurs, Daniel had built up her wealth by holding a concentrated portfolio, essentially all in her own company. But Harrison's advice was rooted in diversification and optimal asset allocation based on reducing risk and maximizing return. Daniel had essentially no liabilities; her parents were well off, and she had no children and no plans for having any. She lived modestly, and her expenses were covered by the salary the acquiring company was paying her to stay on as a consultant. Given her entrepreneurial background, Daniel was comfortable taking risk and had a long-term investment focus. Thus, Harrison recommended that most of Daniel's portfolio be evenly split between a myopic (growth or market-oriented) investment portfolio and a long-term hedging demand (opportunistic) portfolio. The myopic portfolio consisted of liquid U.S. and international equities and high-yield bonds. The opportunistic portfolio consisted of some direct private equity investment in a friend's company (representing 10% of Daniel's total wealth), and investment vehicles (private equity funds and hedge funds) that allowed fund managers to time the market and take on factor risks unavailable in traditional index funds (see chapter 14).

Daniel's portfolio suffered terribly in 2008. Financial markets around the globe plummeted, and, like many investors, Daniel watched her portfolio take a beating. Equity returns were down 30% to 50% around the world in 2008. Daniel's portfolio lost 30%. Her direct private equity investment was wiped out. By April 2009, while the economy was in recession, there was a sense that the markets were no longer in free fall. Daniel was still very concerned about the state of her portfolio. Fortunately, she didn't need the wealth to support her standard of living. Nor did Daniel have immediate liquidity needs that required drawing down the capital in her investment portfolio. Daniel was still single but was now in a relationship. She felt there was some way to go before she would consider getting married. Although there were no plans in the immediate future to have children, she was worried that her greatly reduced portfolio would diminish the legacy that she could leave them if she had any. Daniel thought that her IPS and her asset allocation needed a "total overhaul."

Harrison knew this was going to be a difficult meeting. On the one hand, perhaps some of Daniel's attitude was an irrational overreaction to market conditions. On the other hand, perhaps Daniel had genuinely become more risk averse, and the advice that Harrison gave in 2007 was no longer valid. "People always think they have more risk tolerance when things are going well," as Harrison said. Should Daniel stay the course or revise her IPS and transition to a less risky portfolio?

In this chapter we discuss portfolio choice over long horizons and how an investor can *dynamically* change her portfolio in response to changing returns and investment opportunities. The theory behind *dynamic portfolio choice* was